Veridian Cloud Systems

Q2 2026 Board & Investor Update

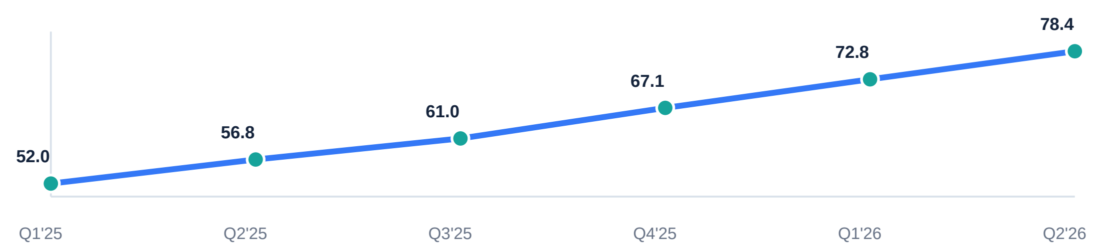
Financial performance, recurring revenue, customer retention, product delivery, and operating outlook

Reporting Period	**Q2 2026**	Report Type	**Quarterly Board Update**
Currency / Units	**USD, millions unless noted**	Submitted By	**Jordan Hale, Chief Financial Officer**
Board Meeting	**July 17, 2026**	Data Through	**June 30, 2026**

ANNUAL RECURRING REVENUE	**$78.4M**	+7.7% QoQ
Q2 REVENUE	**$18.6M**	+24.8% YoY
ADJUSTED EBITDA	**$2.7M**	14.5% margin
NET REVENUE RETENTION	**114%**	+2 pts QoQ
LOGO CHURN	**1.9%**	Quarterly
CASH BALANCE	**$31.2M**	June 30, 2026

Quarter at a glance. Veridian exceeded Q2 revenue and EBITDA plan, driven by enterprise expansion and improved professional-services utilization. ARR reached $78.4M, net revenue retention improved to 114%, and quarterly logo churn declined to 1.9%. Management raised the FY2026 revenue outlook to $75.8M while maintaining disciplined hiring and positive free cash flow.

Annual Recurring Revenue progression ($M)



This document is a fictional B2B SaaS reporting package created for product demonstration, PDF extraction testing, and human-validation workflow design.

1. Executive Summary

Veridian Cloud Systems provides workflow orchestration and compliance automation software to mid-market and enterprise customers in regulated industries. Q2 results reflected strong expansion within existing accounts, improving gross margin, and continued progress toward durable profitability.

Theme	Q2 2026 outcome	Management interpretation
Recurring revenue	ARR of $78.4M, up from $72.8M in Q1 2026 and $61.0M in Q2 2025.	Expansion revenue and enterprise wins offset modest SMB contraction.
Profitability	Adjusted EBITDA of $2.7M; 14.5% adjusted EBITDA margin.	Higher software gross margin and controlled hiring improved operating leverage.
Retention	NRR 114%, GRR 93%, quarterly logo churn 1.9%.	Retention improved after targeted customer-success interventions.
Liquidity	Cash and cash equivalents of $31.2M; positive free cash flow of $0.9M.	No external capital required under the current operating plan.
Execution risk	Two enterprise implementations moved from June to July.	No ARR impact; professional-services recognition shifted into Q3.

Board-level decisions and follow-ups

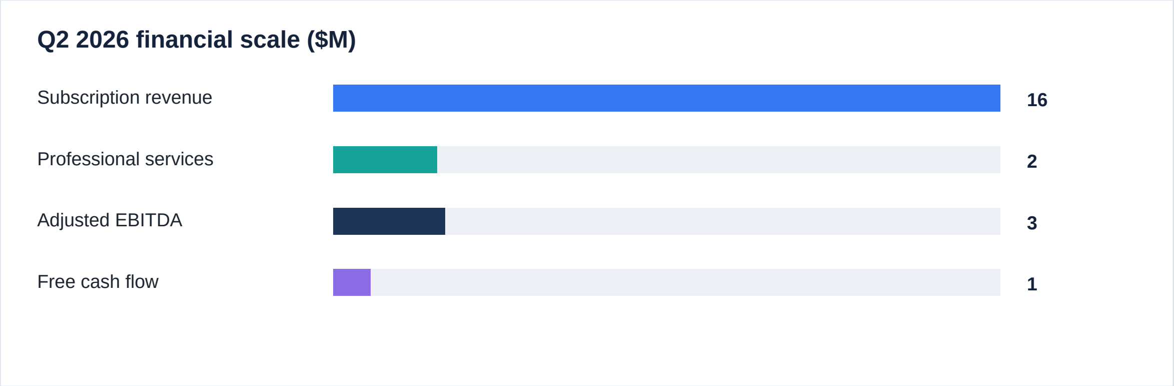
Priority	Decision / follow-up	Owner	Due
High	Approve FY2026 hiring envelope for 18 incremental enterprise and product roles.	CEO / CFO	Jul 17
High	Confirm pricing transition for legacy customers renewing after January 2027.	CRO	Aug 15
Medium	Review acquisition target shortlist for compliance-data connectors.	CEO / Corp Dev	Sep 5
Medium	Approve expanded AI governance policy before beta launch.	CTO / Legal	Aug 1

Management outlook. The business remains on track to exit 2026 above $88.0M ARR with improving cash generation. The key execution priorities are enterprise implementation capacity, continued gross-retention improvement, and disciplined expansion into Europe.

2. Financial and Recurring Revenue Performance

Q2 2026 Actual represents the three months ended June 30, 2026. Budget, prior-quarter, and prior-year values are included for comparison. Current-period extraction should prioritize the Q2 2026 Actual column.

Metric	Q2 2026 Actual	Q1 2026 Actual	Q2 2025 Actual	Q2 2026 Budget	FY2026 Forecast
Total Revenue	$18.6M	$17.2M	$14.9M	$18.1M	$75.8M
Subscription Revenue	$16.1M	$14.9M	$12.7M	$15.7M	$65.2M
Professional Services Revenue	$2.5M	$2.3M	$2.2M	$2.4M	$10.6M
Annual Recurring Revenue (ARR)	$78.4M	$72.8M	$61.0M	$76.5M	$88.0M
Gross Margin	78.6%	77.4%	75.8%	78.0%	79.0%
Adjusted EBITDA	$2.7M	$1.8M	$0.4M	$2.2M	$11.5M
Adjusted EBITDA Margin	14.5%	10.5%	2.7%	12.2%	15.2%
Free Cash Flow	$0.9M	$0.2M	-$1.8M	$0.5M	$4.6M
Cash and Cash Equivalents	$31.2M	$30.3M	$27.8M	$29.5M	$35.0M



Financial commentary. Revenue exceeded budget by $0.5M. Subscription revenue benefited from expansion activity and two enterprise go-lives. Adjusted EBITDA exceeded budget by $0.5M due to better cloud-infrastructure pricing and lower contractor expense. The FY2026 forecast includes $75.8M of revenue and $11.5M of adjusted EBITDA; these are forecasts, not current-quarter actuals.

3. Customer, Retention, and Commercial Metrics

Metric	Q2 2026	Q1 2026	Q2 2025	Operating target
Net Revenue Retention (NRR)	114%	112%	109%	At least 112%
Gross Revenue Retention (GRR)	93%	92%	90%	At least 92%
Quarterly Logo Churn	1.9%	2.3%	2.8%	Below 2.2%
Total Customers	612	584	501	600+
Enterprise Customers	148	136	108	145+
Average Contract Value	$128K	$124K	$118K	Grow selectively
Customer Concentration - Top 10	19% of ARR	20% of ARR	23% of ARR	Below 22%
Support CSAT	94%	93%	92%	At least 92%

Customer cohort commentary

Cohort	Q2 movement	Commentary
Enterprise	+12 net customers	Strongest adoption in financial services and logistics.
Mid-market	+16 net customers	Expansion was healthy, but implementation timing lengthened modestly.
SMB	Flat net customers	Lower-priority segment; product-led onboarding pilot begins in Q3.
International	17% of ARR	Europe grew 36% YoY; localization investment continues.

Retention note. Q4 2025 NRR was 111%, and full-year 2025 logo churn was 9.6%. Those values are historical context and should not replace the current Q2 2026 NRR of 114% or quarterly logo churn of 1.9%.

4. Sales and Go-to-Market

Metric	Q2 2026	Q1 2026	Q2 2025	Commentary
New ARR Bookings	$8.9M	$7.4M	$6.2M	Enterprise contribution was 71%.
Expansion ARR	$5.6M	$4.8M	$3.9M	Driven by workflow and data-volume expansion.
Qualified Pipeline	$64.0M	$58.2M	$46.5M	3.1x coverage against H2 bookings target.
Average Sales Cycle	94 days	101 days	109 days	Improved through vertical playbooks.
CAC Payback	17 months	18 months	21 months	Within the 18-month operating target.
Win Rate	31%	29%	27%	Based on qualified opportunities.

ARR by vertical ($M)

Go-to-market update. The enterprise segment produced the strongest bookings quarter in company history. Management is increasing investment in partner-led implementation and regulated-industry field marketing. The pipeline includes $12.8M of opportunities expected to close in Q3, but those opportunities are not contracted ARR.

5. Product, Platform, and People

Area	Q2 delivery	Q3 priority
Workflow Intelligence	Released anomaly detection to 42 design-partner customers.	General availability and governance controls.
Compliance Connectors	Added connectors for ServiceNow, Workday, and Snowflake.	SAP and Oracle ERP beta integrations.
Platform Reliability	99.96% uptime; priority-one incidents declined from 5 to 2.	Regional failover automation and capacity testing.
Security	Completed SOC 2 Type II renewal with no material exceptions.	ISO 27001 surveillance audit and AI security review.

People and operating capacity

Metric	Q2 2026	Q1 2026	FY2026 plan	Commentary
Total Employees	286 FTE	271 FTE	304 FTE	Hiring remains below the approved envelope.
Engineering & Product	121 FTE	115 FTE	129 FTE	AI platform and integration teams prioritized.
Sales & Marketing	92 FTE	87 FTE	98 FTE	Enterprise account coverage expanded.
Customer Success & Services	52 FTE	49 FTE	56 FTE	Implementation capacity remains the key constraint.
G&A;	21 FTE	20 FTE	21 FTE	Stable as a percentage of revenue.
Voluntary Attrition	8.4% annualized	9.1% annualized	Below 10%	Improved following compensation refresh.

Capacity risk. Two enterprise implementations shifted from June into July because customer-success staffing was below plan. Management expects to restore standard implementation lead times by the end of Q3.

6. Outlook, Risks, and Management Certification

Metric	FY2026 guidance	Prior guidance	Key assumption
Revenue	$75.8M	$74.0M - $75.0M	Enterprise go-lives and stable services utilization
Exit ARR	At least $88.0M	$86.0M - $88.0M	NRR above 112% and planned bookings
Adjusted EBITDA	$11.5M	$10.0M - $11.0M	Gross margin improvement and hiring discipline
Free Cash Flow	$4.6M	$3.5M - $4.5M	Collections and implementation timing
Year-end Cash	Approximately $35.0M	Approximately $33.0M	No acquisition cash outflow assumed

Key risks and mitigations

Risk	Assessment	Mitigation
Enterprise implementation capacity	High	Accelerate hiring, certify partners, and improve deployment tooling.
Retention in smaller customers	Medium	Product-led onboarding, simplified packaging, and proactive health scoring.
AI product governance	Medium	Human approval controls, audit logs, model evaluation, and legal review.
International execution	Medium	Phase hiring against pipeline and use local partners for implementation.
Competitive pricing pressure	Medium	Value-based pricing, vertical differentiation, and connector breadth.

Management certification

Management confirms that the current-period financial and operating metrics in this report reflect the quarter ended June 30, 2026, subject to normal quarter-end adjustments. Forecasts, pipeline values, and forward-looking statements are estimates and should not be treated as current-period actual results.

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Veridian Cloud Systems
July 10, 2026